



THIRD QUARTER 2015 FINANCIAL RESULTS

November 3, 2015

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, expectations regarding products, future use of cash and dividend payments, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2014, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG THIRD QUARTER RESULTS

- Diverse sources of revenue growth continue across species and geographies
- Operational¹ revenue growth driven by livestock products in U.S., addition of Abbott Animal Health, sales of APOQUEL and other new products
- Adjusted net income² grew faster than revenue with continued efficiency improvements
- Industry growth drivers remain strong despite global economic challenges

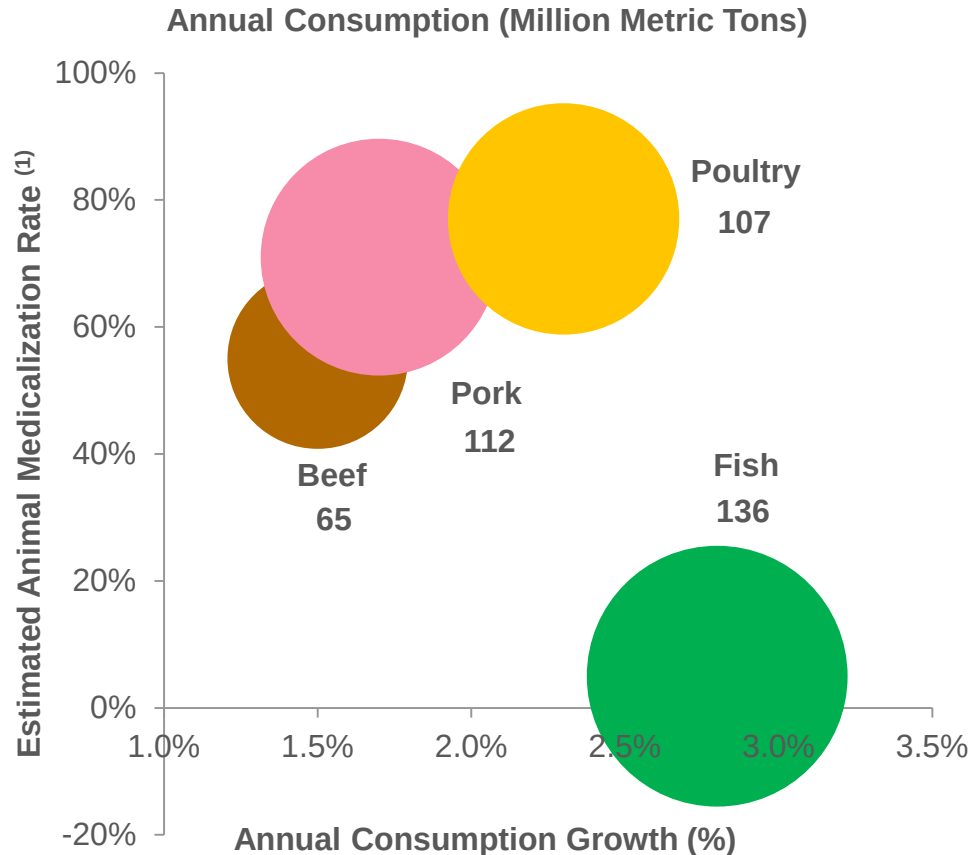
POSITIONED FOR LONG TERM PROFITABLE GROWTH

- Announced acquisition of PHARMAQ, the global leader in vaccines and innovation for health products in aquaculture – the fastest growing segment of animal health
- Continued progress on key pipeline developments (SIMPARICA[™]) and investments for growth (new R&D center and manufacturing site in China)
- Updated full year 2015 guidance and outlook for 2016 and 2017

¹Operational growth excludes the impact of foreign exchange

²Adjusted net income is defined as reported U.S. generally accepted accounting principles (GAAP) net excluding purchase accounting adjustments, acquisition-related costs and certain significant items

AQUATIC HEALTH HAS SEVERAL ATTRACTIVE GROWTH DRIVERS



Source: United Nations Food and Agricultural Organization, USDA, Vetnosis

1. Defined as estimated production animal population receiving medicines and vaccines

- Fish is most consumed meat protein in the world
- Fastest consumption growth of all animal proteins
- Current rate of medicalization far below other meat proteins
- Significant room to improve efficiency in aquaculture
 - Growth in farmed fish production
 - New medicines and vaccines

PAUL HERENDEEN
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Third Quarter		
	2015*	2014*	Change
Revenue	\$1,214	\$1,210	-
Reported Net Income	189	166	14%
Reported Diluted Earnings Per Share	\$0.38	\$0.33	15%
Adjusted Net Income ¹	252	207	22%
Adjusted Diluted EPS ¹	\$0.50	\$0.41	22%

* Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Third Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ²
Revenue	\$1,214	\$1,210	-	(9)%	9%
Adjusted Cost of Sales ¹	409	429	(5)%	(12)%	7%
<i>as a percent of revenue</i>	33.7%	35.5%	NA	NA	NA
Adjusted SG&A Expenses ¹	346	366	(5)%	(8)%	3%
Adjusted R&D Expenses ¹	91	93	(2)%	(5)%	3%
Effective Tax Rate on Adjusted Income ¹	25.1%	28.3%	NA	NA	NA
Adjusted Net Income ¹	252	207	22%	(9)%	31%

*Millions of dollars
NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth excludes the impact of foreign exchange.

INTERNATIONAL MARKET REVENUE

	Third Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Total International	\$569	\$666	(15)%	(17)%	2%
Australia	40	47	(15)%	(20)%	5%
Brazil	54	71	(24)%	(36)%	12%
Canada	35	39	(10)%	(15)%	5%
China	30	24	25%	1%	24%
France	24	40	(40)%	(13)%	(27)%
Germany	27	34	(21)%	(19)%	(2)%
Italy	21	26	(19)%	(17)%	(2)%
Japan	23	17	35%	(21)%	56%
Mexico	19	20	(5)%	(16)%	11%
Spain	21	23	(9)%	(19)%	10%
United Kingdom	43	42	2%	(10)%	12%
Other Developed	68	84	(19)%	(17)%	(2)%
Other Emerging	164	199	(18)%	(12)%	(6)%

*Millions of dollars

¹Operational growth excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE

	Third Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$632	\$532	19%	-	19%
Livestock	348	308	13%	-	13%
Companion Animal	284	224	27%	-	27%
Cost of Sales	147	126	17%	-	17%
Gross Profit	485	406	19%	-	19%
<i>Gross Margin</i>	76.7%	76.3%	N/A	-	N/A
Operating Expenses	100	93	8%	-	8%
Other (Income)/Deductions	(1)	-	**	-	**
Earnings	386	313	23%	-	23%

*Millions of dollars

**Calculation not meaningful

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

INTERNATIONAL SEGMENT PERFORMANCE

	Third Quarter				
	2015*	2014*	Change	Foreign Exchange	Operational ¹
Revenue	\$569	\$666	(15)%	(17)%	2%
Livestock	402	482	(17)%	(17)%	-
Companion Animal	167	184	(9)%	(16)%	7%
Cost of Sales	209	241	(13)%	(13)%	-
Gross Profit	360	425	(15)%	(18)%	3%
<i>Gross Margin</i>	63.3%	63.8%	N/A	N/A	N/A
Operating Expenses	137	168	(18)%	(16)%	(2)%
Other (Income)/Deductions	4	2	100%	**	**
Earnings	219	255	(14)%	(21)%	7%

*Millions of dollars

**Calculation not meaningful

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

2015 FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2015
Revenue <i>Operational growth</i> ¹	\$4,700 to \$4,750 6.5% to 7.5%
Adjusted cost of sales as a percentage of revenue ²	Approximately 35%
Adjusted SG&A expenses ²	\$1,375 to \$1,405
Adjusted R&D expenses ²	\$350 to \$370
Adjusted interest expense and other (income) / deductions ²	Approximately \$110
Adjusted EBIT margin ²	Approximately 28%
Effective tax rate on adjusted income ²	Approximately 28%
Adjusted diluted EPS ²	\$1.70 to \$1.74
Adjusted Net income ² <i>Operational growth</i> ¹	\$855 to \$875 16% to 19%
Certain significant items ³ and acquisition-related costs	\$470 to \$490
Reported diluted EPS	\$0.82 to \$0.89

¹Operational growth excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted earnings before interest and taxes (EBIT) is defined as reported EBIT excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

³Primarily includes certain nonrecurring costs related to restructuring and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, and certain legal registration and patent assignment costs.

2016 – 2017 FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2016	2017
Revenue <i>Operational growth</i> ¹	\$4,750 to \$4,875 3% to 5%	\$5,025 to \$5,225 4% to 9%
Adjusted cost of sales as a percentage of revenue ²	33% to 34%	32% to 33%
Adjusted SG&A expenses ²	\$1,310 to \$1,360	\$1,270 to \$1,360
Adjusted R&D expenses ²	\$360 to \$380	\$360 to \$380
Adjusted interest expense and other (income) / deductions ²	Approximately \$150	Approximately \$150
Adjusted EBIT margin ²	Approximately 31%	Approximately 34%
Effective tax rate on adjusted income ²	Approximately 28%	Approximately 28%
Adjusted diluted EPS ²	\$1.84 to \$1.94	\$2.24 to \$2.38
Adjusted Net income ² <i>Operational growth</i> ¹	\$925 to \$975 14% to 20%	\$1,125 to \$1,195 18% to 26%
Certain significant items ³ and acquisition-related costs	\$130 to \$180	\$50 to \$80
Reported diluted EPS ⁴	\$1.50 to \$1.68	\$2.04 to \$2.22

¹Operational growth excludes the impact of foreign exchange

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³Primarily includes certain nonrecurring costs related to restructuring and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, and certain legal registration and patent assignment costs.

⁴Includes preliminary estimate of purchase price allocation for PHARMAQ

2015 – 2017 REVENUE GUIDANCE BRIDGE

\$ millions

Revenue <i>Operational Growth %</i>	2015	2016	2017
Previous	\$4,700 to \$4,775 6.0 % to 7.5%	\$4,650 to \$4,800 (1%) to 2%	\$4,850 to \$5,050 3% to 7%
Foreign Exchange	~(\$25)	~(\$100)	~(\$125)
PHARMAQ		~\$100	~\$125
Pipeline and Other		~\$100	~\$175
Updated	\$4,700 to \$4,750 6.5% to 7.5%	\$4,750 to \$4,875 3% to 5%	\$5,025 to \$5,225 4% to 9%

Operational growth excludes the impact of foreign exchange.

ONE TIME COSTS 2015 - 2017

Pre-tax Charges* (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other	\$180 to \$210
Operational efficiency initiative	\$350 to \$390
Supply network strategy	\$70 to \$90
Certain significant items and acquisition-related costs	\$600 to \$690

*Excludes non-cash charges of \$50 in 2015

Q&A

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